India was negotiating a civil nuclear cooperation agreement with the US, which would greatly enhance India's diplomatic profile and significantly strengthen the India–US partnership. This encouraged the Chinese to balance this development by upgrading their own relations with India, and this increased India's room for manoeuvre vis-à-vis China. At their meeting, Prime Minister Manmohan Singh and Wen Jiabao reached a broad consensus on the following lines:

One, that China was not a threat to India and India was not a threat to China;

Two, that there was enough space in Asia and the world for the simultaneous growth of both India and China;

Three, that India was an economic opportunity for China, and China likewise an economic opportunity for India;

Four, that as two large and emerging economies the two countries, by working together, could exercise significant influence on the existing global regimes in different domains and could shape new global regimes in emerging domains such as climate change, cyber space and outer space;

Five, that India–China relations having thus acquired a global and strategic dimension and in order to enable them to work more effectively together, it was important to resolve the India–China border issue at an early date.

Wen Jiabao even conveyed China's support for India's claim to membership of the UN Security Council but said that he could not declare this publicly since China could not support Japan's candidature. Japan was a member of the Group of Four that were together seeking permanent membership of the UN Security Council. The other members of this group were India, Brazil and Germany.

During the 2005 visit of Wen Jiabao, the Chinese side handed over an official map which now showed Sikkim with the same colour wash as other parts of India, having (as mentioned earlier) already conveyed its recognition of Sikkim as a state of India during Prime Minister Vajpayee's visit to China in 2003.

The two sides also concluded a historic agreement on Political Parameters